State–Centre Funding and a New Paradigm

What does the lawyer who fought the Ram Janmabhoomi case in the Supreme Court on behalf of Ram Lalla have to do with the issue of government funding? Quite a lot. In early 2020, the same lawyer, K. Parasaran, also provided legal advice to the Finance Commission on a new structure to divide up taxation income between the Centre and the states. Under the Indian system, tax earnings are divided between the Centre and the state based on a formula set up by successive Finance Commissions. Ever since the Fourteenth Finance Commission, which increased the proportion of funding for state governments (up from 32 per cent to 42 per cent) in 2015, the Modi government has talked of how this helped its slogan of cooperative federalism. In reality, the states have been complaining that their share of the money actually came down with this new division, since the government also reduced Central government spending on schemes, while reducing funding earmarked by the erstwhile Planning Commission, which was replaced by the Niti Ayog.

That share of the states could go down further. In early 2020, the Fifteenth Finance Commission, headed by N.K. Singh, obtained a legal opinion from Parasaran on whether the division of money between the Centre and the states ought to happen only after the share of defence spending was first subtracted by the Central government. This would, in effect, reduce the total pot that would be divided and radically decrease the share of the states. The new scheme of division came after an amendment to the Terms of Reference (ToR) of the Fifteenth Finance Commission by the government in July 2019, when it was asked to 'examine whether a separate mechanism for funding of defence and internal security ought to be set up and if so how such a mechanism could be operationalized'. Further, the first report of the Fifteenth Finance Commission, tabled in Parliament on 1 February 2020, made it clear that the Finance Ministry 'has proposed setting up a non-lapsable fund, levy of cess, monetization of surplus land and other assets, tax-free defence bonds and utilizing the proceeds of disinvestment of defence public sector undertakings'.[132]